

UPI/Online Payment Fraud

UPI fraud is a scam where fraudsters exploit the UPI to steal money or sensitive information from users. They use tactics like phishing, fake UPI links, and social engineering to trick individuals into revealing their UPI PIN, OTP, or bank details, leading to unauthorized transactions.

How is it executed?

Let's take a look at how UPI fraud occurs:

1: The Initial Contact & Impersonation. Fraudsters call, pretending to be bank officials, customer support, or potential buyers on online marketplaces.

2: Building Trust/Urgency. They claim there is a pending KYC update, a blocked account, a prize to claim, or an urgent requirement to pay for an online order.

- . **3: The "Collect Request" Trap.** Instead of sending money, they send a "Collect Request" (Request Money) through a UPI app and ask the victim to enter their UPI PIN, claiming it is required to *receive* money.

4: Screen

Mirroring/Malware. Sometimes, they ask the victim to download third-party apps like AnyDesk, ScreenShare or TeamViewer, claiming it is for technical support. These apps allow the scammer to see the victim's phone screen, capturing the UPI PIN or OTP.

5: Unauthorized Transaction. Once the UPI PIN is entered or the screen is mirrored, the scammer initiates a transfer, debiting the victim's account.

We identified other approaches, too. For example, fraudsters send an SMS and ask you to forward it to another number they provide.

After the message is successfully sent, the fraudster can link your mobile number or account through UPI to their mobile.

Who is Usually Targeted

- **Online Sellers:** Individuals selling items on platforms like OLX or Facebook Marketplace.
- **Elderly and Technologically Unfamiliar Users:** Those who are less familiar with digital payment security protocols.
- **Job Seekers/Prize Winners:** People targeted through fake "cashback" or "job offer" schemes.
- **Small Business Owners:** Merchants targeted with fake payment screenshots or QR code tampering

Consequences of UPI Fraud

- . **Immediate Financial Loss:** Money is transferred from the user's account in real-time, often immediately moved to other accounts to make recovery difficult.
- . **Emotional Distress:** Victims face significant anxiety and stress, often blaming themselves.
- . **Data Breach/Privacy Loss:** Remote access apps can grant attackers access to personal data, contacts, and SMSs, leading to further identity theft.
- . **Long Recovery Time:** Reversing fraudulent UPI transactions can take time and requires immediate reporting to the bank, the 1930 cybercrime helpline, and filing a police report.